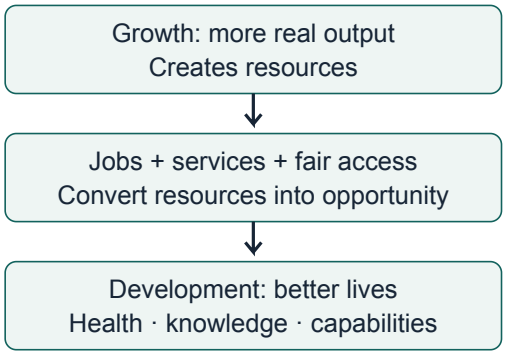
Economic Growth versus Economic Development

1. Growth and development

- **Economic growth:** increase in real output/income over time; mainly quantitative. **Growth rate = [(real GDP this year − real GDP last year) / real GDP last year] × 100.** Use comparable constant-price data.
- **Economic development:** broader improvement in living standards, capabilities and opportunities, alongside economic/structural change; includes poverty, jobs, distribution, health, education and gender equity.
- **Growth indicators:** real GDP/GNP growth, real per-capita income. **Development indicators:** HDI/IHDI, gender indices, poverty and wellbeing measures.
- Growth increases resources; **jobs, fair opportunities and effective public services** help translate them into development. Higher income alone does not ensure shared benefits.
- **Corrections:** growth can be long-term; development can be quantified through indicators, though no single number captures it fully. Both concepts matter in developed and developing countries.
- Human development enlarges choices, capabilities and freedoms. Four pillars associated with **Mahbub ul Haq:** equity, sustainability, productivity and empowerment. Amartya Sen's capability approach emphasises people's real freedom to live lives they value.



Growth supports development when people can participate and benefit.

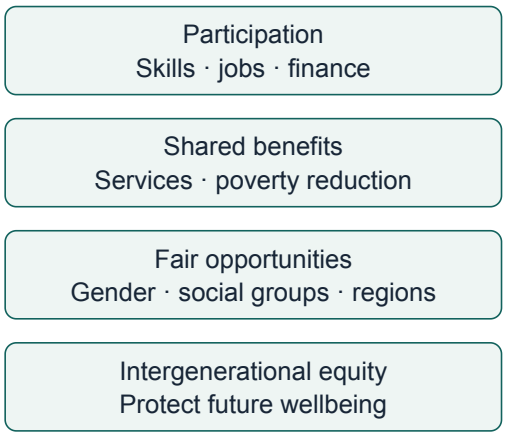
2. Drivers, obstacles and remedies

- **Resources/production:** natural resources, capital formation, agricultural surplus/productivity, structural transformation and an efficient financial system.
- **People/institutions:** human capital; education, skills and technology; health; effective law/order; ethical/social values and good governance. These overlap with economic factors—the book's two-way grouping is not a rigid separation.
- **Population pressure relative to resources** → education, health, productive employment and infrastructure; population can become a demographic dividend when skills/jobs exist.
- **Agriculture dependence/disguised unemployment** → modern technology, higher productivity, diversification and non-farm jobs.

- **Low income/inequality/unemployment/skill mismatch** → labour-intensive employment, inclusion, quality education and skills; implement NEP effectively.
- **Infrastructure/finance gaps** → investment, wider banking access and resolution of non-performing assets (NPAs).
- **Corruption/misdirected priorities** → transparency, accountability and accessible digital processes.
- **Poor health/resource depletion** → better health spending and welfare delivery; sustainable resource use.
- **Underdevelopment:** low per-capita income, capital formation and labour productivity; widespread poverty/inequality; unemployment/underemployment; weak human capital and high dependence on primary-sector employment. It is multidimensional, not an income label alone.

3. Inclusive growth

- **Meaning:** broad participation in growth and fair access to its benefits, across income, gender, caste, religion and region. Inclusion requires opportunities and capabilities, not only redistribution after growth.
- **Vertical inequality:** between people at different income levels. **Horizontal inequality:** between groups, e.g. gender/social groups. Also address regional disparities.
- Goals: poverty reduction, productive jobs, opportunities across all sectors, smaller gaps between advantaged/disadvantaged groups. “Balanced sectors” does not mean identical sectoral growth rates.
- India's obstacles: poverty, weak job creation, skills mismatch, agricultural productivity gaps, social barriers, regional disparities, inequality and governance weaknesses.
- **Global MPI 2025:** India's latest survey used is **2019–21**; incidence **16.4%**, approximately **235.74 million** poor using 2023 population. A 2025 report date is not a 2025 survey. UNDP country profile
- **415 million** exited multidimensional poverty during **2005–06 to 2019–21** in the global MPI comparison. Do not mix this with national-MPI estimates or shorter periods. UNDP
- **Inclusive Development Index, WEF (2018):** growth/development; inclusion; intergenerational equity/sustainability. Covered 103 economies in two groups; India **62nd of 74 emerging economies**. Historical rank, not a current league table. WEF



Inclusive growth needs access, participation and shared gains.

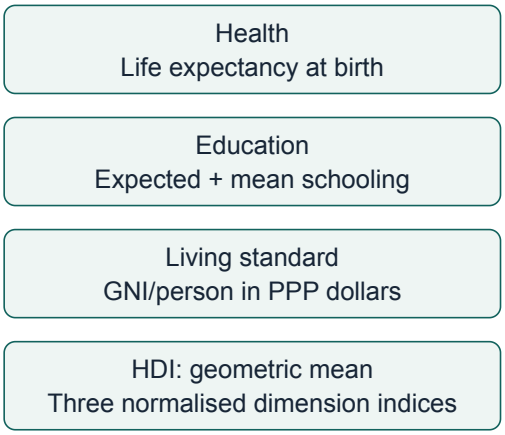
4. Composite Development Index of States

- **Raghuram Rajan Committee, 2013:** proposed a composite (under)development index for States and a funds-allocation framework considering need and performance. Committee release

- **Ten equally weighted components:** monthly per-capita consumption expenditure; education; health; household amenities; poverty; female literacy; SC/ST population share; urbanisation; financial inclusion; connectivity.
- This is distinct from UNDP's HDI and WEF's Inclusive Development Index. A deprivation/underdevelopment score should not be interpreted like an achievement score.

5. HDI: health + education + income

- **Publisher:** UNDP, within the Human Development Report, first issued **1990**. HDI summarises average achievement; the report also includes IHDI, GDI, GII and MPI.
- **Health:** life expectancy at birth. **Education:** expected years of schooling for a school-entry-age child and mean years of schooling for adults **25+**. **Living standard:** GNI per capita in **PPP dollars**, not GDP per capita.
- **HDI = (health index × education index × income index)^(1/3):** geometric mean of three normalised dimension indices. Values range from 0 to 1; higher is better.
- **Categories:** very high **≥0.800**; high **0.700–0.799**; medium **0.550–0.699**; low **<0.550**.
- Equal GNI per capita can yield different human-development outcomes due to policy, distribution and public services. HDI is broader than income, but still hides inequalities and does not capture every freedom or environmental cost.

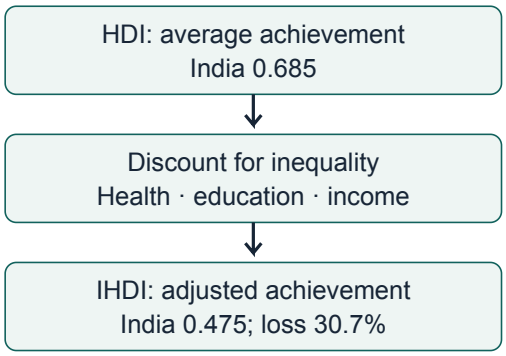


Remember H–E–I: health, education, income. These are three dimensions, four underlying indicators.

6. HDI, IHDI and planetary pressures

- **HDI:** average achievements. **IHDI:** discounts the same health/education/income dimensions for inequality in their distribution; introduced **2010**. Inequality is not a new fourth HDI dimension.
- **IHDI ≤ HDI**; equality gives IHDI = HDI. **Loss due to inequality = (1 − IHDI/HDI) × 100.**
- **HDR 2025, mainly 2023 data:** India HDI **0.685**, rank **130/193**, medium category; IHDI **0.475**, loss **30.7%**. The book incorrectly calls 0.475 “HDI”.
- India indicators: life expectancy **72.0 years**; mean schooling **6.88 years**; expected schooling **12.95 years**; GNI/person **$9,046.76, 2021 PPP**. UNDP India

- Consistent 2025-report series: 2022 HDI **0.676** → **0.685 in 2023**. The older HDR2023/24 publication reported 0.644 for 2022; revisions mean these editions should not be treated as a directly comparable unrevised series. Expected schooling was **12.96** → **12.95**, so not every indicator increased.
- Official HDR2025 dimension-inequality figures: health **15.5%**, education **36.9%**, income **37.4%**; these replace the book's mixed-vintage values. HDR tables 1–3
- **HDR2025 ranks:** Iceland **1 (0.972)**; Norway/Switzerland **2 (0.970)**; Denmark **4 (0.962)**; South Sudan **193 (0.388)**. Neighbours: China **78**, Sri Lanka **89**, Bhutan **125**, India/Bangladesh **130**, Nepal **145**, Pakistan **168**, Afghanistan **181**. Corrected Bhutan/China ranks replace the book's 127/75. HDR
- **Report title, 2025:** “A Matter of Choice: People and Possibilities in the Age of AI”.
- **PHDI, introduced 2020:** adjusts HDI for **per-capita CO_2 emissions and material footprint**; achievements with less planetary pressure are favoured. It complements rather than replaces HDI.



HDR2025 figures: higher average achievement does not guarantee equally shared achievement.

7. GII and GDI: do not interchange

- **GII—Gender Inequality Index (UNDP; 2010):** disadvantage in **reproductive health, empowerment and labour-market participation**. **0 = no measured inequality; 1 = maximum**; lower is better.
- Health indicators: maternal mortality and adolescent births. Empowerment: parliamentary representation and secondary education. Labour: female/male labour-force participation.
- **HDR2025:** India GII **0.403**, rank **102/172**; world **0.455**, South Asia **0.458**. Adolescent births **14.1 per 1,000 women aged 15–19**; LFPR, ages 15+: women **35.1%**, men **76.4%**, gap **41.3 percentage points**. These replace the older 0.419/15.7/28.9% figures mixed into the book. Reference years vary by component. HDR table 5
- **GDI—Gender Development Index (UNDP): GDI = female HDI / male HDI.** Same three HDI dimensions; education includes both mean and expected schooling. A value closer to **1** means greater parity; GDI can exceed 1.
- **HDR2025, 2023 data:** GDI **0.874**; female HDI **0.631**, male **0.722**. Female/male life expectancy **73.6/70.5 years**; mean schooling **5.8/8.0**; expected schooling **13.0/12.9**; GNI/person **$4,543/$13,273 (2021 PPP)**. The book's 0.865 and 0.616/0.712 use older figures; they are not current HDR2025 values. HDR table 4

8. Global Gender Gap Index

- **Publisher:** World Economic Forum; first introduced **2006**. Measures gender parity, not simply absolute development levels.

- Four subindices: **economic participation/opportunity; educational attainment; health/survival; political empowerment**.
- **0–1:** higher score means more of the gap closed; 1 is the parity benchmark. This direction is opposite to GII.
- **2025:** India **131/148**, score **0.644**; Iceland **0.926**, followed by Finland, Norway and the UK. World score **68.8%**; the matched-country comparison improved by about **0.3 percentage points**. WEF2025
- **2026 update:** India retains rank **131**, score **0.645** (64.5% parity). Keep this separate from the 2025 edition. WEF2026

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9. World Happiness Report

- First published **2012**. Published by Oxford's **Wellbeing Research Centre**, in partnership with **Gallup, the UN Sustainable Development Solutions Network and an independent editorial board**; attributing publication solely to SDSN is incomplete. About the report
- **Ranking:** average self-reported life evaluations on the **Cantril ladder, 0–10**, using Gallup World Poll data, normally averaged over three years. It is **not** a weighted index of six inputs.
- Six factors used to **explain** differences: GDP/person (PPP); social support; healthy life expectancy; freedom to choose; generosity; perceived corruption. Methodology FAQ
- **2026:** India **116/147**, score **4.536**; book's previous score **4.389** refers to the older edition. Finland first for the **ninth consecutive year**, then **Iceland and Denmark** (the book reverses these two). Afghanistan last; Sierra Leone second-last; Lebanon also near the bottom. 2026 rankings
- Report focus: **Happiness and Social Media (2026)**; **Caring and Sharing (2025)**. India's social support and freedom are useful policy lenses, but avoid assigning a cause to a rank without evidence. 2026 report
- **International Day of Happiness: 20 March.** A report's theme should not automatically be labelled the UN observance's official theme.

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10. Gross National Happiness

- **Bhutan:** associated with fourth King **Jigme Singye Wangchuck**, 1970s; holistic progress gives importance to non-economic wellbeing.
- **Four pillars:** sustainable/equitable socio-economic development; good governance; cultural preservation; environmental conservation.
- **GNH Index: 33 indicators, nine domains**—psychological wellbeing, health, education, time use, cultural diversity/resilience, good governance, community vitality, ecological diversity/resilience and living standards. Bhutan consulate
- **GNH ≠ World Happiness Report:** a multidimensional Bhutanese framework versus international self-reported life-evaluation rankings.
- **Delhi Happiness Curriculum, 2018:** mindfulness/attention, critical thinking/reflection, social-emotional skills and confident, responsible personalities. SCERT
- Chapter's Indian example: **Madhya Pradesh's Happiness Department/Anand Sansthan, 2016**. The book also names Andhra Pradesh as a subsequent adopter; treat the “second State” chronology as its claim, not an independently established ranking.

11. Sustainability and country classification

- **Sustainable development:** improve present wellbeing without undermining future generations' ability to meet needs. Inclusion concerns who benefits now; sustainability also concerns future people and environmental limits.
- **Sustainable Development Report:** SDSN's SDG Index/Dashboards assess progress towards the **17 SDGs**; separate from HDI and from the UN's own SDG progress reporting. **2026 India: rank** 94**, score** 68.33**/100**. SDSN report, rankings
- **World Bank:** classifies economies by **GNI/person, Atlas method**; this is not PPP and not a sector-based classification. Thresholds are updated annually on **1 July**.
- **FY2027 (July 2026–June 2027), 2025 GNI:** low **≤$1,175**; lower-middle **$1,176–4,635**; upper-middle **$4,636–14,375**; high **>$14,375**. India lower-middle; China upper-middle; USA high. The book's $1,005/$3,995/$12,235 thresholds are outdated and its ranges contain inconsistencies. World Bank
- **Developed/developing:** broad structural labels involving industrialisation, technology, institutions and living standards; not exact synonyms for World Bank income classes. A developing economy need not be dominated by agriculture.
- **Least Developed Countries (UN category):** severe structural constraints, low income, weak human assets and vulnerability to economic/environmental shocks. Income, human assets and vulnerability all matter; Somalia and Sudan are examples cited in the chapter.

12. Prelims PYQs: recall

- **2018 human-capital formation → (c), 2 and 4 only:** knowledge, skills and capacities; intangible wealth, not merely tangible assets or financial capital.
- **2013 growth in country X → (c), capital formation:** the supplied key identifies additions to productive capital. In real economies, efficient use and demand also matter; do not turn the question into an unconditional guarantee.
- **2012 inclusive governance → (c), 2, 3 and 4 only:** effective District Planning Committees, public-health spending and Mid-day Meals. Simply permitting NBFCs to do banking does not by itself establish inclusive governance.

13. Mains PYQs: answer cues

- **2025 HDI versus IHDI, India:** average versus distribution-adjusted achievement → India **0.685/0.475** and **30.7%** loss → explain why shared health, education and income achievements better reflect inclusion; IHDI still does not capture every dimension.
- **2022 inclusive growth in a market economy/financial inclusion:** markets create opportunities, but exclusion/market failures need public action. Savings, payments, responsible credit and insurance support enterprise/resilience; access alone is insufficient without affordability, capability and consumer protection.
- **2019 inclusion and sustainability together:** jobs/services and equity today + conservation, resilient infrastructure and intergenerational equity; manage trade-offs through a just transition.
- **2017 salient features/India/measures:** participation, opportunity, jobs, reduced poverty/group/regional gaps → balanced evidence → human capital, agriculture/MSMEs, finance, social protection and governance. This PYQ also relates to National Income.

- **2016 manpower-related challenges:** interpret through skill mismatch, low productivity, unemployment, job quality and demographic pressures; suggest training, health/education, labour-intensive opportunities and better matching, rather than labelling people as inherently unproductive.

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14. One-minute recall

- **Growth:** more real output. **Development:** better lives/capabilities. **Inclusion:** who participates/benefits. **Sustainability:** whether benefits endure.
- **HDI:** health + education + GNI. **IHDI:** same dimensions, inequality discount. **PHDI:** planetary-pressure adjustment.
- **GDI:** female/male HDI, parity near 1. **GII:** inequality, lower better. **WEF gender gap:** parity, higher better.
- **WHR:** reported life evaluation; six variables explain it. **GNH:** Bhutan's 4 pillars/9 domains/33 indicators.
- **Income groups:** World Bank, GNI/person, Atlas method; annual thresholds. **LDC:** separate UN structural category.
- **Rank ≠ score; report year ≠ data year.** Check edition, survey period, units and publisher before comparing.